PROJECT OVERVIEW

Project Title

Economic Impact of the 2026 Iran Market Shock: Energy Prices, Inflation and Market Volatility in the Post-COVID Global Economy

Business Problem

The 2026 Iran Market Shock created uncertainty in global energy markets, resulting in fluctuations in oil prices, fuel costs, inflation rates, exchange rates and stock market performance. Understanding these relationships is critical for governments, investors and businesses seeking to manage

Key Business Question

How did the 2026 Iran Market Shock affect global energy prices, fuel costs, inflation and stock market volatility across different economic periods?

Objectives

Analyze oil price movements across economic periods.
Evaluate fuel cost pressures across countries and regions.
Assess inflation trends before and during the market shock.
Examine stock market volatility responses.
Identify regions most exposed to energy-related economic pressure.

Key Findings

Finding 1

Average oil prices increased significantly during the Market Shock period, indicating heightened geopolitical risk.

Finding 2

Fuel prices rose across most regions, with Europe and Oceania experiencing the highest average costs.

Finding 3

Higher oil prices coincided with increased inflationary pressure.

Finding 4

Stock market volatility increased during the shock period, with Nikkei 225 exhibiting the highest volatility.

Finding 5

Fuel price impacts varied substantially across countries, with Hong Kong recording the highest average fuel price.

Executive Recommendation

The analysis demonstrates that geopolitical disruptions can rapidly influence energy prices, inflation and financial markets. Governments and businesses should strengthen energy diversification strategies, improve supply chain resilience and implement proactive risk management frameworks to reduce exposure to future economic shocks.